

HBS3ATI7

Dubowitz - Direct

1 instructions that were sent from bank to bank.

2 But then it became much more technologically
3 sophisticated with the SWIFT system where all of this was done
4 through electronic transmission of information that was done
5 very quickly to global banks around the world.

6 Q. Is access to the SWIFT system important for banks?

7 A. It's critical. If you don't have access to the SWIFT
8 system, you're effectively shut out from the financial system,
9 because you no longer can conduct any financial transactions,
10 you can't send this financial messaging information to other
11 banks. And by being cut out, it is also a warning to the
12 global financial system that if this bank has been cut out of
13 SWIFT, there must be something of serious concern when it comes
14 to this bank. This bank is essentially financially
15 radioactive.

16 MR. DENTON: Mr. Chang-Frieden, if we could skip ahead
17 to page 23.

18 Q. We talked a moment ago about Executive Order 13599,
19 Mr. Dubowitz. Could you tell us about some of the financial
20 institutions that were designated under that executive order.

21 A. Yeah. There were six financial institutions. Bank
22 Sarmayeh, Bank Pasargad, Bank Saman, Parsian Bank, Credit
23 Institution for Development, and Eghtesad Novin Bank.

24 Q. Remind us if you could what was the significance of these
25 entities being designated under 13599?